PROCEDURES FOR CIF / PAYMENT INSTRUMENT: NOMINATIONS, SHIPMENT & PROCEDURES

I. BUYER SIGN AND SEAL THIS CONTRACT AND RETURN BACK TO SELLER ELECTRONICALLY. THE SIGNED CONTRACT COPY BY BOTH PARTIES IS CONSIDERED LEGALLY BINDING AND ENFORCEABLE.

II. BUYER SEND STORAGE FACILITY/NOR FORMAT AND ATB, CLIENT INFORMATION SHEET, PASSPORT COPY AND CERTIFICATE OF BUSINESS REGISTRATION TO SELLER.

III. BUYER ISSUE CONFIRMED BANK SWIFT RWA TO SELLER (SEE ATTACHED FORMAT)

IV. NNPC/SELLER INSTRUCT CAPTAIN TO ISSUE NOR/ATB FROM VESSEL OR ISSUES SHIPMENT SCHEDULE FOR FIRST MONTH DELIVERY OF 2M BARRELS SHIPMENT. NEXT SHIPMENT SCHEDULE COMES BEFORE PAYMENT OF LAST DELIVERY. THE BUYER'S INSPECTORS AND THE CARGO AGENT WOULD BOARDING FOR VERIFY THE AUTHENTICITY OF THE CRUDE OIL.
NNPC /NOR / ATB 2M BARRELS

V. AFTER BUYER CONFIRMED WITH THE NOR AND VERIFY THE AUTHENTICITY OF THE CRUDE OIL， BUYER BANK ISSUES MT799 BLOCK FUND OR MT103/23 TO SELLER'S ACCOUNT AS PER SELLER'S BANK VERBIAGE.

VI. NNPC/SELLER ISSUES COMPLETE CARGO DOCUMENTS AVAILABLE OR ISSUE BELOW CONFIRMATION LETTERS:
NNPC：

A) CONTRACT CONFIRMATION LETTER.
B) ACCOUNT NOMINATION LETTER.
C) READINESS LETTER TO DELIVER AS PER CONTRACT QUANTITY.

VII. SELLER BANK CONFIRMS MT799 BLOCK FUND AND RESPOND TO BUYER'S BANK BY SEND FULL POP DOCUMENTS WITH A COPY EMAILED TO BUYER.

VIII. BUYER UPON CONFIRMATION AND RECEIPT OF FULL POP DOCUMENT & SHIPMENT SCHEDULE WITHIN 72HRS.

IX. SELLER ENSURES THAT THE CARGO IS DOCUMENTED, REGISTERED AND OBTAIN CERTIFICATE OF OWNERSHIP/TITLE OF WARRANTY

X. VESSEL SAILS TO BUYER'S STORAGE LOCATION FOR DISCHARGE

XI. BUYER CONDUCTS INSPECTION UPON ARRIVAL AND GET CIQ REPORT.

XII. WITHIN 120 HOURS AFTER DISCHARGE OF CRUDE OIL AT BUYER'S PORT OF DESTINATION/STORAGE, THE BUYER PAYS FOR THE CRUDE OIL AS PER THE FINAL CIQ REPORT ISSUED BY INDEPENDENT INSPECTOR AT THE PORT OF DISCHARGE.

PAYMENTS ARE MADE BY MT103/SWIFT WIRE TRANSFER DIRECTLY TO THE SELLER'S AUTHORIZED BENEFICIARY NOMINATED BANK ACCOUNTS AND COMMISSION AGENTS AS STIPULATED IN THE IMFPA IN THIS CONTRACT WITHIN 72 HOURS AFTER PRODUCT DELIVERY TO BUYER'S NOMINATED PORT OF DISCHARGE AGAINST PRESENTATION OF STATED SHIPPING DOCUMENTS, CIQ REPORTS, COMMERCIAL INVOICE ETC (NON-NEGOTIABLE COPIES) AT BUYER'S BANK.

Buyer RWA letter sample:

BANK FULL LETTER HEAD PAPER
SAMPLE OF RWA LETTER

DATE:
TO: THE CHIEF TERMINAL SUPERINTENDENT
BONNY TERMINAL
NNPC

ATTN: ENGR. XXX

Dear Sir,

READY WILLING AND ABLE LETTER

We (the full Bank Name & address) hereby verify and confirm with full Banking responsibility and legal Authority on our instruction, that on this day of ……2017. Our Client (ACCOUNT HOLDER NAME) representative by MR….. ……, Holder passport No……, have on deposit in the account no…….., the cash sum of…… United States Dollars, (USD$.....)

Our Client, (ACCOUNT HOLDER NAME) Representative by MR…….. has fully capability and has concluded discussions and arrangements with us to issue Bank instruments of Bank Guarantee, VIA MT799, a sum of ……. United States Dollar for the executive usage by Beneficiary for a period of One Year and One day.

NNPC Can Blacklist Our Client and Terminate the transaction if Instrument do not come within this time period below:
Issuing Date for pre-advice: between : Earliest Date : xxxxxxx or Latest Date: xxxxxxxxxx
Issuing Date for MT799: between : Earliest Date : xxxxxxx or Latest Date: xxxxxxxxxx

We further confirm that the funds are cleared, clean with non -criminal origin and will remain in the account and can be confirmed on your instruction by Swift MT799 in favor of your contractual partner's Bank account.

For and on behalf of

……Bank Ltd

Name:Officer 1	**Officer 2Name:**
Position:	**Position:**
Signature/Official Seal:	**Signature/Official Seal:**
Phone no/Email:	**hone no/Email:**

Addendum 1

SWIFT FORMAT MT 799 CASH BLOCKED FUNDS

FROM
BANK NAME:
BANK ADDRESS:
SWIFT CODE:
ACCOUNT NAME:
ACCOUNT NO:
ACCOUNT OFFICER:
PHONE NO:

RECEIVER:
BANK NAME:
BANK ADDRESS:
BRANCH CODE:
SWIFT CODE:
ACCOUNT NAME: LTD
ACCOUNT NUMBER:
BANK OFFICER:
AMOUNT: US$
IN FAVOR OF : LTD

WE, _____ BANKING CORPORATION –(BANK ADDRESS0 , REPRESENTED BY THE UNDERSIGNED BANK OFFICERS, HEREBY CONFIRM WITH FULL BANK RESPONSIBILITY THAT OUR INSTITUTION IS HOLDING THE AMOUNT OF US$ (MILLION UNITED STATES DOLLARS) IN CASH FUNDS IN ACCOUNT NUMBER_____, ON BEHALF OF OUR CLIENT _____, AND THIS INSTRUMENT IS ISSUED IN FAVOUR AND FOR BENEFIT OF THE BENEFICIARY **LTD** ACCOUNT NUMBER_____.
WE DO HERBY CONFIRM WITH FULL BANK RESPONSIBILITY AND LIABILITY THAT WE HAVE FULL CUSTODY OVER SAID FUNDS AND THESE FUNDS ARE NOT PERMITED TO BE, WITHDRAWN, MOVED, TRANSFERED, CALLED OR PLEDGED TO ANY OTHER ENTITY DURING THE PERIOD OFONE YEAR AND ONE DAY AND THE SAID FUNDS ARE BLOCKED IN FAVOUR OF_____**LTD** AND NO OTHER ENTITY BY VIRTUE OF THIS INSTRUMENT, WE DO HEREBY IRREVOCABLY CONFIRM THAT THE FUNDS ARE GOOD, CLEAN, CLEARED, UNENCUMBEREED FUNDS OF NON- CRIMINAL ORIGIN AND FREELY AVAILABLE FOR **LTD.**
THIS INSTRUMENT SHALL BE FOR PERIOD OF ONE YEAR AND ONE DAY (366 DAY) BANKING DAYS. THIS SWIFT MT799 IS AN OPERATIVE AND REVOLVING INSTRUMENT, AND THIS OPERATIVE INSTRUMENT IS VERIFIABLE BY RESPONSIBLE BANK INQUIRY VIA SWIFT, AND IS FULLY CONFIRMABLE, IRREVOCABLE, NEGOTIABLE. ASSIGNABLE,TRANSFERABLE AND DIVISIBLE IN ACCORDANCE WITH THE UNIFORM CUSTOMS AND PRACTICE FOR SUCH CREDIT INSTRUMENT AS PUBLISHED BY THE I.C.C PUBLICATION, PARIS, FRANCE (LATEST REVISION).

THIS INSTRUMENT SHALL EXPIRE ONE YEAR ONE DAY.
----------MESSAGE TRAILER----------
FOR AND ON BEHALF OF _____ (FULL NAME AND ADDRESS OF ISSUING BANK)
BANK OFFICER (1) BANK OFFICER (2)
NAME: NAME :
TITLE : TITLE :